China's FDI smaller than Brazil's and Russia's.[112] Moreover, all the BRICS, but especially China, were taking increasing losses by concentrating their external holdings in high-grade, low-risk foreign government debt reserve assets instead of seeking higher-yield investments.

Second, the BRICS governments recognized that, although the Western lords of finance continued to dominate both global financial markets and financial governance, they were not necessarily skillful or trustworthy stewards. The global financial crisis reinforced the view that the BRICS needed more robust defenses against U.S. leverage, the exorbitant privileges of the dollar, and to protect against contagious shocks from U.S. financial mismanagement.

While Chapters 3 and 4 discuss Chinese and the BRICS collective financial statecraft moves to promote their international financial and monetary profiles, this section takes a brief look at incipient, yet significant, shifts in these dimensions. Throughout, the BRICS are compared to the incumbent powers, particularly to the major advanced industrial countries.

The first subsection begins by examining the structure and health of domestic financial institutions and markets in the BRICS in comparative perspective on the assumption that minimally competent domestic financial performance is a prerequisite for those who would play an active role in global financial governance. The second subsection turns to investigate the openness of BRICS' national markets to interact with global investment flows and actors, while the third subsection reviews the distribution among the BRICS of certain financial assets and resources that are potentially helpful for the exercise of assertive or defensive international financial statecraft.

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How strong and solid are the BRICS' home financial systems? It seems reasonable to assume that varied, vibrant, yet sober domestic banks and capital markets, a solid national regulatory and legal framework that protects financial property rights, and transparent oversight and governance all would be prerequisites for a country's leaders to exercise international financial power. How do the BRICS fare on these dimensions?